known tailor is surely the largest creditor in all fiction and is, if the accountant will certify his receivables as collectable, the wealthiest character ever invented.

One wonders if the tailor's real problem was that he was in the wrong line of work. He should have resigned from the book and obtained a job in the loan department of a big bank, where he could soon have made a name for himself (which he badly needs, for Carroll leaves him nameless). He has already mastered the art of rollover and understands about penalty interest rates; his rate is 100 percent per year, which he has learned to take into his income statement, at least as psychic income. His loan is perfectly sound, for there is no risk of default by the Professor—unless, of course, the tailor were unwise enough to finally write off his folly.

(making sure they were the ones run by bankers, not tailors—see accompanying box). Sooner or later, we figured—and we proved right—investors would pay more for these low-P/E bank stocks, for, as I asked Acorn's shareholders, "How ya gonna keep 'em down on these firms after they've seen P/Es?"

The same thing happened when the savings and loan scandal erupted. Everyone was mourning the death of the industry, but we concluded that at least a few S&Ls had to survive, like buffalo herds in Yellowstone National Park. We bought the stocks of several perfectly sound savings banks on the cheap and made out very well.

We had another chance at the bargain table in July 1996, when a couple of technology companies announced that earnings would be lower than consensus estimates and, in the ensuing panic, high-tech stocks were thrown out the window en masse. Many of the